

percent to stocks and 30 percent to bonds, a common asset allocation model. The innovative investor can also be moderate and diversify beyond stocks and bonds into alternative assets, such as bitcoin. Innovative yet moderate investors interested in bitcoin could do so by taking a small piece of their equity portfolio, say 1 percent, and purchasing bitcoin. In this way, they maintain their overall risk profile because equities are riskier than bonds, and so swapping one risky asset with another risky asset is a reasonable adjustment.

We built a model to simulate how a 70 percent equities–30 percent bonds portfolio would have behaved in comparison to a 1 percent bitcoin–69 percent equities–30 percent bonds portfolio. For equities, we used the S&P 500 index, and for bonds we used a broad-based U.S. bonds index known as the Bloomberg Barclays U.S. Aggregate Bond Index.

We calculated using quarterly rebalancing to maintain the original percentage target. As assets rise and fall, over time their percentages in a portfolio change. It's common practice to reassess each quarter and make small buy and sell transactions to reset the target percentages. For example, an investor that purchased a 1 percent position in bitcoin four years ago would have had a whopping 32 percent allocation by the start of 2017, as shown in [Figure 7.20](#). The difference between a 1 percent and 32 percent portfolio allocation creates a drastically different risk profile and would likely not be appropriate for all. Hence the importance of rebalancing.